

Law Test - 3

MCQ

- 1) [B]
- 2) [C]
- 3) [B]
- 4) [D]
- 5) [B]
- 6) [C]
- 7) [D]
- 8) [D]

Descriptive

Answer 1 [a] As per provisions of companies Act, 2013,

Companies to which provisions of rotation of auditor apply shall not appoint an individual as auditor for more than one term of five consecutive years and audit firm for two terms more than of five consecutive years.

If an auditor has completed his term, he shall not be eligible for appointment as auditor of same company for five years from completion of the term.

Also, audit firm with common partners shall not be appointed as succeeding auditor of same company after completion of term.

In the given case, Mr Raj is partner in both M/s Sharma & Associate and M/s Mehta & Associates.

Since M/s Sharma has completed the term, M/s Mehta will not be eligible for appointment.

Hence, Bright Future Ltd. cannot appoint M/s Mehta as audit firm.

Answer 1 [b] As per Section 380 of Companies Act, 2013,

Every foreign company shall within 30 days of establishment of Place of Business in India file following documents in form FC-1 with Registrar, Central Registration Centre :-

- (i) Certified copy of charter, memorandum and association defining constitution of company. If same is not in English language, a certified translation thereof in English language.
- (ii) Full address of principal office of company.
- (iii) the list of directors ~~of company~~ containing following particulars:
 - (1) Personal name and surname
 - (2) Father, Mother and Spouse Name
 - (3) Date of Birth
 - (4) Residential address
 - (5) Nationality
 - (6) Passport Number, Date and Country of issue
 - (7) Occupation
 - (8) e-mail ID and PAN
 - (9) other prescribed particulars
- (iv) Name and address of Person resident in India authorised to accept notices and communication on behalf of Company.
- (v) particulars of opening of closing and opening place of Business in India on earlier occasion.
- (vi) full address of office of company in India
- (vii) any other documents and information as may be prescribed.

Answer 1) [c] As per The General Clauses Act, 1897,
for computation of ~~any~~ time, in any legislation or regulation,
it shall be sufficient for purpose of excluding first in
series of days and including last in series of days.

(a) Komal Ltd. is required to pay declared dividend within
30 days from declaration.

Komal Ltd. has declared dividend on 27 September, 2025 and
shall pay dividend by 27 October, 2025 (28 September - 27
October)

(b) If dividend declared has not been paid or claimed within
7 days from expiry of said period of 30 days transfer to UDAAC.
Hence, Komal Ltd will be required to transfer dividend to
Unpaid dividend Account by 3 November, 2025 (29 October -
3 November).

Answer 2) [b] As per the provisions of Limited Liability Partnership
Act, 2008,

(i) Every LLP shall have at least two partners.

(ii) If at any ^{time} number of partners are reduced below two and

LLP carries on business for more than 6 months, the person who
is only partner carries on business and has knowledge of fact
that he is carrying business alone, shall be liable personally
for all obligations of LLP incurred during that period.

A LLP can be wound up by Tribunal :-

- (i) If LLP decides that LLP be wound by tribunal.
- (ii) If Tribunal is opinion it is just and equitable that LLP be wound up.
- (iii) If for number of more than 6 month partners are below two.
- (iv) If LLP has acted against sovereignty and integrity of India and security of state.
- (v) If LLP has defaulted in filing Annual Return or Statement of Account and Solvency with Registrars for five consecutive years.

In the given case, one partner due to quarrel left LLP and other partner continue business.
If he carries business for more than 6 months, he shall be personally liable ~~for~~ and be wound by tribunal.

Answer 3) (a) As per provisions of FEMA, 1999 :-

- (1) For making donation without RBI approval, the amount shall not exceed 1% of 12,00,00,000 i.e., 120,000 or USD 50,00,000 whichever is less.
Hence, donation should not exceed USD 120,000.

- (2) Remittance exceeding 5% of investment brought into India or USD 100,000 whichever is higher by an entity in India by way of reimbursement of pre-incorporation expense shall require prior approval of RBI.
Hence, Pareto Ltd can make remittance of maximum 5% of investment.

Ans 1) [b] Interpretation is process of finding out real meaning of act and intention of legislature. It is process by which court seek to ascertain intention of legislature. It is art of finding out true sense of words and real meaning of act.

While every care is taken to ensure laws framed are free from ambiguity and absurdity, it is scarcely possible to express them in terms free from ambiguity and absurdity.

So, the need for interpretation and construction arises. Hence, rules for interpretation are needed to ensure just and uniform decisions.

Therefore, interpretation of statute is applied to clear any ambiguity and absurdity in statutes and when words of statute are unclear, ambiguous and capable of more than one meaning.

Answer 2) [a] Rule of Beneficial Construction is not a rule but method of interpreting provisions liberally. Beneficial construction will be given to statute which bring into effect provision for underprivileged people and person not treated fairly in past. In such case it is permitted to give wider meaning to provisions.

But this can be applied only when two constructions are possible and not when words are unequivocal.

Rule of exceptional construction means words of statute must be construed so as to give sensible meaning to them. They ought to be construed ut res magis valeat quam pereat.